

HCJD/C-121
JUDGMENT SHEET
IN THE SLAMABAD HIGH COURT, ISLAMABAD

Writ Petition No. 597 of 2022

**Port Qasim Power Company Limited through its duly
Authorized Officer**

Versus

**Pakistan through the Secretary Revenue & Ex. Officio
Chairman, Federal Board of Revenue, FBR House,
Constitution Avenue, Islamabad and others**

Petitioners by : **Mr. Hyder Ali Khan, AHC.
Mr. Saad M. Hashmi, AHC.
Khuwaja Aizaz Ahsan,
AHC.**

Respondents by : **Syed Ishfaq Hussain Naqvi,
Advocate for FBR.
Mr. Babar Bilal, Advocate.
Mr. Atif Waheed, Advocate.**

Date of Hearing : **26.05.2022**

Babar Sattar, J:- Through this judgment this Court seeks to decide the petitions listed in Annexure-A.

2. The petitioners are aggrieved by show cause notices ("Impugned SCNs") issued under the Sales Tax Act, 1990 ("STA") and the Federal Excise Act, 2005 ("FEA") for the purposes of assessment of Sales Tax and Federal Excise in relation to payments made by the petitioners ("Tax Payers").

3. Mr. Hyder Ali Khan, AHC appearing on behalf of Port Qasim Power Company (Pvt.) Limited and Al-Haj Pakistan Exploration Limited stated that the impugned SCNs are without jurisdiction in view of jurisdictional order dated 05.08.2020 ("Jurisdictional Notification"), pursuant to which the jurisdiction,

powers and functions vested in Commissioner Inland Revenue for purposes of the Sales Tax Act, 1990, had been bifurcated. He submitted that the erstwhile Commissioner Inland Revenue has been re-designated as Commissioner Inland Revenue for purposes of Audit and Commissioner Inland Revenue for purposes of Enforcement. That the petitioner fell within the domain of Commissioner Inland Revenue Zone-II. That the powers and functions of audit and the power to undertake assessment of registered persons was vested in the office of Commissioner Inland Revenue Audit-II. That once assessment had been undertaken by the said Commissioner Inland Revenue, the Commissioner Inland Revenue Enforcement was then vested with power and authority to seek enforcement of such adjudicatory order and undertake collection of any sale tax liability attributed to the taxpayer. He further submitted that the impugned SCNs had been issued by Deputy Commissioner exercising authority of Commissioner Inland Revenue (Enforcement) who was seeking to undertake the assessment of sales tax liability of the petitioner and consequently the impugned SCNs were without jurisdiction being *coram non judice*.

4. Khuwaja Aizaz Ahsan, AHC appearing on behalf of the petitioners in W.P. Nos.1814 and 1815 of 2022 submitted that Deputy Commissioner Enforcement Unit had no jurisdiction to issue the impugned SCNs. He too submitted that through the Jurisdictional Notification the Federal Board of Revenue ("FBR") in exercise of powers under Sections 30 and 31 of the STA and Section 29 of FEA specified the scope of powers and functions

conferred on Commissioner Inland Revenue. That while doing so the jurisdiction to undertake audit and assessment of registered persons for purposes of income tax, sales tax and federal excise was vested in Commissioner (Audit) and the jurisdiction for purposes of enforcement, recovery and collection of income tax was vested in Commissioner (Enforcement). He submitted that Section 3 of the STA was the charging provision and created the liability to pay sales tax. Section 11 of the STA provided for the assessment of tax and recovery of tax not levied or short levied or erroneously refunded and recovery was to be affected pursuant to Rule 71 of the Sales Tax Rules, 2006. He submitted that similarly under the FEA, Section 3 was a charging section that specified the duties to be levied. And Section 14(1) and (2) provided for the assessment of unpaid duty. Section 14(3) provided for recovery of duty levied and penalty imposed. He stated that in view of the scheme of the tax and statutes the FBR through conscious application of mind had conferred the power and function of undertaking assessment of sales tax and federal excise on Commissioner (Audit) and had conferred the power and function of affecting recovery and collection of sales tax and federal excise on Commissioner (Enforcement). He placed on record show cause notices issued in tax jurisdiction outside of Islamabad wherein show cause notices for purposes of assessment were being issued by Commissioner (Audit) as opposed to Commissioner (Enforcement). He submitted that while in other territorial jurisdictions the Jurisdictional Notification dated 05.08.2020 was being complied with, in Islamabad Commissioner (Enforcement) was acting in disregard of the power and functions vested in him by the FBR as was

evident in the Impugned SCNs whereby Commissioner (Enforcement) was seeking to undertake assessment of sales tax and federal excise liability. He relied on **H.M. Extraction Ghee and Oil Industries (Pvt.) Ltd. and another Vs. Federal Board of Revenue and another (2019 SCMR 1081)** to emphasize that declaration of liability, the assessment of liability and the recovery of liability had been identified and emphasized at three distinct stages within the tax collection framework. And in view of such distinction the powers and functions had been distributed between different offices that form part of the tax collection machinery. He also relied on **Messrs Friends Sons and partnership Concern Vs. The Deputy Collector Central Excise and Sales Tax, Lahore and 3 others (PLD 1989 Lahore 337)**, **Kohinoor Textile Vs. Federation of Pakistan (2002 PTD 121)**, **Messrs Adamjee Insurance Company Ltd. through Deputy General Manager and 5 others Vs. The Assistant Collector (P&A) Government of Pakistan and two others (2021 PTD 281)**, **Election Commission of Pakistan Vs. Asif Iqbal and others (PLD 1992 SC 342)**, **Ilam Khan Vs. Government of Pakistan and 3 others (1983 CLC 786)**, **Mohammad Ilyas Qureshi Vs. Federal Board of Revenue through Member Legal and others (2017 PTD 1528)**, **CARETEX Vs. Collector Sales Tax and Federal Excise and others (PLD 2013 Lahore 634)**, **Commissioner Inland Revenue, Zone-I, LTU Vs. MCB Bank Ltd. (2021 PTD 1367)**, **Messrs Julian Hoshang Dinshaw Trust and others Vs. Income Tax Officer, Circle XVIII South Zone, Karachi and others (1992 SCMR 250)** and **Unilever Pakistan Ltd. through**

Company Secretary and General Attorney Vs. Pakistan through Secretary Law and Justice and 5 others (2020 PTD 2052), for additional legal prepositions that need not be recapitulated for purposes of the instant petition.

5. Mr. Saad M. Hashmi, AHC appearing on behalf of Fauji Fertilizer Company Limited also took the Court through Jurisdictional Notification to show how the function of audit and assessment had been bifurcated from the enforcement function and the power and jurisdiction in relation to each had been vested in Commissioner (Audit) and Commissioner (Enforcement), respectively. He took the Court through Table-B of the Jurisdictional Notification to identify that the petitioners were mentioned in the said notification and that assessment of any liability in relation to the taxpayer could only be undertaken by Commissioner (Audit), who had been endowed with such authority by the Jurisdictional Notification and not by the Commissioner (Enforcement) who could only affect recovery once liability of the taxpayer has been ascertained after assessment. He too relied on **H.M. Extraction Ghee and Oil Industries (Pvt.) Ltd. and another Vs. Federal Board of Revenue and another (2019 SCMR 1081)** to highlight that the Apex Court had recognized the three stages in the imposition of the tax. That the legislature had levied tax liability under the STA and the FEA. But the machinery provisions for purposes of tax assessment were to be employed by tax officials vested with such jurisdiction by the FBR and the enforcement provisions were to be employed by another set of tax officials vested with enforcement authority for purposes of collection of

tax liability already ascertained through the assessment process. He submitted that the Jurisdictional Notification was issued to delineate the respective jurisdiction of tax officials in exercise of authority under Sections 30 and 31 of the STA and Section 29 of the FEA and tax officials could only exercise such jurisdiction as was vested in them by the FBR. As the Impugned SCNs had been issued by Commissioner (Enforcement) who was not vested with jurisdiction or power to undertake assessment of liability of the taxpayers under the STA or the FEA, the Impugned SCNs were devoid of jurisdiction. He also relied on the law in relation to challenges brought against Impugned SCNs in **PKP Exploration Ltd. and others Vs. Federal Board of Revenue through Chairman and others (2021 PTD 1644)** where this Court had held that where impugned notice was without jurisdiction for having been issued by a person not vested with authority under the law to issue the same it could be impugned before the High Court in its constitutional jurisdiction.

6. Syed Ishfaq Hussain Naqvi, AHC, appearing on behalf of FBR submitted that the Jurisdictional Notification was issued for purposes of convenience by FBR and the powers and functions were assigned to different tax officials. But provisions of the Jurisdictional Notification need not be enforced strictly as they were machinery provisions. He then submitted that under Section 30 of the STA the FBR was only required to affirm power of tax officials in relation to any area, person or class of persons. And the powers and functions of tax officials were governed by Section 30 of the STA. In relation to Section 11 of

the STA he contended that a Impugned SCNs issued under the said section was essentially in the nature of a recovery notice as opposed to being a notice to assess the tax liability of the taxpayer. And in that context the Commissioner (Enforcement) could issue Impugned SCNs for purposes of recovery of sales tax. While interpreting provisions of the Jurisdictional Notification, he submitted that while the function of audit and assessment was vested in Commissioner (Audit), Commissioner (Enforcement) was vested with the power of enforcement and collection of sales tax and federal excise and that such power was wide enough to include within it the function of any assessment that was required to be made prior to recovery of tax. He lastly submitted that in **Commissioner Inland Revenue and others Vs. Jahangir Khan Tareen and others (2022 SCMR 92)** the august Supreme Court had held that even if there were certain doubts with regard to the issue of jurisdiction and the question whether relevant power had been delegated to the tax official who issued a show cause notice, such objection could be taken up before the tax official as opposed to bringing a challenge against such show cause notice in writ jurisdiction. On such basis he argued that the petitions were not maintainable.

7. Khuwaja Aizaz Ahsan, AHC in rebuttal submitted that Section 11(1) and Section 11(2) very clearly provided for issuance of a show cause notice for purposes of assessment of tax liability and such function of assessment could not be confused with the function of collection of any liability affixed through such process of assessment. He further submitted that

while Section 40 of the STA vested in FBR the power to appoint tax officials in relation to any area, person or class of person, Section 31 very explicitly provided that an officer of Inland Revenue appointed under Section 30 could only exercise such powers and discharge such duties as conferred on him under the Act and further clarified that the Board could impose limitations or conditions for exercises of powers by officers of Inland Revenue, which is exactly what the FBR had done through the Jurisdictional Notification which has now been disregarded by its own officials.

8. In a rule of law regime, the matter of jurisdiction of a public official is never an inconsequential matter. Article 4 of the Constitution guarantees the right of individuals to be dealt with in accordance with law. Article 4(2)(c) provides that “no person shall be compelled to do that which the law does not require him to do”. The Constitution is our fundamental law and the source of all public authority. In exercise of powers conferred by the Constitution the legislature frames statutes. Within such statutes the legislature in its wisdom can elect to further delegate authority to officials and agencies that form part of the executive, who can exercise such authority within the four corners of the power delegated to them. It is through this scheme that the power being delegated to any public functionary can be traced back to the Constitution. In any democracy rooted in rule of law all public officials exercise authority delegated to them by the people in accordance with the contract between citizen and the state i.e. the Constitution. Consequently no public official can claim any inherent power not

vested in him/her by law. It is in this context that the question of jurisdiction, powers and functions conferred on public officials is to be approached.

9. The distinction between the freedom that an individual citizen enjoys in his private conduct and the restraints that apply to a public official while discharging public functions was explained by the august Supreme Court in **Gadoon Textile Mills Vs. WAPDA (1997 SCMR 641)** wherein the following was held:

"A public authority or corporation is a creature of statute and its sphere of activities and actions are circumscribed by the relevant law. Such juristic person is permitted to do what it is authorized to do by law, unlike a human being who is permitted to do what he is not forbidden by law to do. The corporation created by statute mainly for public purpose with the object of rendering service providing facilities, conveniences and amenities to public, are required to mold their decisions and actions within the frame of law for the benefit of public."

10. The question of inherit power of the executive was once again enumerated by the august Supreme Court in **Pakistan Muslim League (N) through Khawaja Muhammad Asif, M.N.A. and others Versus Federation of Pakistan through Secretary Ministry of Interior (PLD 2007 SC 642)** where the scheme of our law and Constitution was enumerated in unambiguous terms as follows:

"It may not be out of place to mention here that "there is no inherent power in the executive, except what has been vested in it by law, and that law is the source of power and duty. The structure of the machinery of government and the regulation of the powers and duties which belong to the different parts of this structure are defined by the law, which also prescribes, to some extent the mode in which these powers are to be exercised or

those duties performed. From the all-pervading presence of law, as the sole source of governmental powers and duties, there follows the consequence that the existence or non-existence of a power or duty is, a matter of law and not of fact, and so must be determined by reference to same enactment or reported case. Consequently there are no powers or duties inseparably annexed to the executive Government. It cannot be argued that a vague, indefinite and wide power has been vested in the executive to invade upon the proprietary rights of citizens and that such invasion cannot be subjected to judicial scrutiny if it is claimed that it is a mere executive order. This is not the position in law. Any invasion upon the rights of citizens by anybody no matter whether by a private individual or by a public official or body, must be justified with reference to some law of the country. Therefore, executive action would necessarily have to be such that it could not possibly violate a Fundamental Right. The only power of the executive to take action would have to be derived from law and the law itself would not be able to confer upon the executive any power to deal with a citizen or other-persons in Pakistan in contravention of a Fundamental Right. Functionaries of State are to function strictly within the sphere allotted to them and in accordance with law. No Court or Authority is entitled to exercise power not vested in it and all citizens have an inalienable right to be treated in accordance with law. Therefore, an action of an Authority admitted to be derogatory to law and Constitution is liable to be struck down. "(PLD 1976 Kar: 1257 (DB), PLD 1967 Dacca 607 (DB), 19 DLR 689, 1990 CLC 1772, 1990 MLD 1468."

11. In view of Article 4 of the Constitution together with the guidance provided by the Apex Court in the cases highlighted above we can now look at the scheme of distribution and delegation of powers under the STA and the FEA for purposes of this case. Section 30 of the STA empowers the FBR to appoint officers of Inland Revenue in relation to any area, person or class of persons. In other words the territorial jurisdiction of such officials as well as taxpayers in relation to whom such tax officials may exercise jurisdiction is regulated by Section 30.

Section 31 regulates the manner in which an officer of Inland Revenue is to be endowed with powers and duties. It states the following:

"31. Powers.-- *An officer of Inland Revenue appointed under Section 30 shall exercise such powers and discharge such duties as are conferred or imposed upon him under this Act; and he shall also be competent to exercise all powers and discharge all duties conferred or imposed upon any officer subordinate to him:*

Provided that, notwithstanding anything contained in this Act or the rules, the Board may, by general or special order, impose such limitations or conditions on the exercise of such powers and discharge of such duties as it deems fit.

The argument of the learned counsel for FBR that the STA does not require conferring powers and functions on officers of Inland Revenue is without force in view of the explicit language of Section 31. That proviso to Section 31 confirms that FBR through General or Special Order has the authority to impose limitations or prescribe conditions for exercise of powers and discharge of duties in its best judgment. It is in exercise of its powers under Section 31 that FBR had prescribed the Jurisdictional Notification, which bifurcated and distributed the authority for assessment of tax liability and the authority to collect tax found due in the assessment process between Commissioner Inland Revenue denominated as Commissioner (Audit) and Commissioner Inland Revenue denominated as Commissioner (Enforcement).

12. The facts in the matter before this Court is not in dispute. The learned counsel for the tax department admits that the Impugned SCNs have been issued by Commissioner

(Enforcement) and not by Commissioner (Audit). His contention is that Commissioner (Enforcement) could also perform the assessment function, as the assessment function has not been independently identified as a stage in recovery of tax liability under Section 11 of the STA. The specific language of Section 11(1) and (2) of the STA however defeats such argument. Sub-section (1) and (2) of Section 11 very clearly prescribe the process and mechanism for purposes of assessment of any tax not levied or short levied or erroneously refunded prior to creation of any tax liability against the taxpayer. Such taxpayer is to be issued a show cause notice to be provided an opportunity to present his side of the story, after which assessment of his tax liability is to be undertaken. Such assessment function under the Jurisdictional Notification is vested in Commissioner (Audit). It is only once tax liability has been affixed in compliance with requirements for undertaking assessment of the tax liability that recovery can be affected. A comprehensive mechanism for effecting recovery has been prescribed under the Sales Tax Rules, 2006. Thus, the argument of the learned counsel for the tax department claiming that assessment and recovery functions under the Sales Tax regime are comingled, is without force.

13. The same is true for the Federal Excise regime as prescribed under Section 14 of the FEA. Section 14 (1) requires that where a taxpayer is deemed liable for unpaid duty, such taxpayer is to be issued a show cause notice. Section 14(2) then provides that “the officer of Inland Revenue empowered in this behalf, shall after considering the objections of the person

served with a notice to show cause under Sub-section 1 determine the amount of duty payable by him...". Section 14(3) provides the following:

"Section 14(3):- Where any amount of duty levied and penalty imposed or any other amount payable under this Act is due from any person, such amount or sum shall be recovered in such manner as is prescribed under this Act or rules made thereunder."

The scheme prescribed in Section 14 clearly distinguishes between the assessment of duty and its recovery. Section 14(2) vests power, only in an officer of Inland Revenue who is empowered to undertake assessment, to affix a tax liability during the assessment phase in the imposition of Federal Excise.

14. In view of the unequivocal scheme and language of the Jurisdictional Notification, read together with Sections 11, 30 and 31 of the STA and Section 14 of the FEA, it is evident that in exercise of its judgment and authority, the FBR has segregated the function of assessment of tax liability and that of enforcing recovery of such tax liability and distributed such functions amongst Commissioner (Audit) and Commissioner (Enforcement), respectively. The different stages in the imposition of tax, as explained by the august Supreme Court in **H.M. Extraction Ghee**, are separately identifiable in provisions of the STA and the FEA. The FBR in exercise of its authority under Section 31 of the STA could have conferred such distinguishable functions in the same Commissioner Inland Revenue, in which case the same Commissioner so empowered could exercise such separate functions. But FBR, which has been

conferred with the authority to administer and manage the tax collection system in Pakistan under the FBR Act of 2007, read together with provisions of the Income Tax Ordinance, 2001, and the STA and the FEA, has chosen not to do so. In exercise of its power under the proviso of Section 31 of STA, FBR has imposed limitations on the exercise of powers and discharge of function and duties by Commissioner (Audit) and Commissioner (Enforcement), through issuance of the Jurisdictional Notification. The officers of Inland Revenue serving within the hierarchy of Commissioner (Enforcement) cannot disregard the powers and functions vested under the Jurisdictional Notification or usurp the powers and functions vested in Commissioner (Audit).

15. In the instant case the Impugned SCNs have been issued to taxpayers to afford them an opportunity to explain to the tax department as to why they are not liable to shoulder further tax liability. The power being exercised in the Impugned SCNs is that of assessment as the tax liability of the taxpayer is yet to be determined. Such assessment function cannot be undertaken by Commissioner (Enforcement) whose jurisdiction would be triggered once assessment has been undertaken and liability against the taxpayer created through such assessment process. The officials within the hierarchy of Commissioner (Enforcement) were therefore not vested with the power to issue the Impugned SCNs. The Jurisdictional Notification created a limitation in relation to their power and restricted their function to that of collecting against the liability created. The exercise of authority to issue the Impugned SCNs therefore has no backing of law.

16. The contention of the learned counsel for the tax department that the objection to the jurisdiction of the tax official who has issued a show cause notice could be taken up before such officer is without force. It was settled by the august Supreme Court in **Commissioner of Income Tax Versus Eli Lilly Pakistan (Pvt.) Ltd. (2009 SCMR 1279)** that challenge to an order or notice that is palpably without jurisdiction is maintainable in writ jurisdiction (see for example **Phoenix Mills Ltd., Karachi Versus City District Government Karachi (PLD 2003 Karachi 83)**, **Platinum Commercial Bank Ltd. Versus Government of Sindh (2003 MLD 279)** and **Commissioner of Income Tax Vs. Hamdard Dawa Khana (Waqf) Pakistan (PLD 1992 SC 847)**).

17. In view of the scheme of the Constitution and the law as explained above, the notice issued by Deputy Commissioner serving within the office of Commissioner (Enforcement) was devoid of jurisdiction to undertake assessment of tax liability of the taxpayers in view of the very explicit Jurisdictional Notification issued by FBR. The Impugned SCNs are therefore palpably without jurisdiction. The issuance of the Impugned SCNs by such officials whose authority have been delineated by the FBR, which has not vested with any power to undertake assessment of tax, is no different from any other public official having nothing to do with the machinery of the state to issue such show cause notice. Where the authority of a public official is not backed by law, any action taken in exercise of authority vested in another public official amounts to usurpation of authority. Such action is not backed by law and is liable to be

struck down for not being clothed with legality and legitimacy. Where there is no confusion with regard to the jurisdiction vested in a public official and determination of jurisdiction of such public official requires no additional factual inquiry, the person on the receiving end of colorable exercise of state authority need not be subjected to such exercise of power by the official who devoid of legal authority. Consequently, the objection to the maintainability of the petitions is misconceived.

18. In view of the above, the petitions are ***allowed***. It is declared that in view of the Jurisdictional Notification read together with Section 31 of the STA and Section 14 of the FEA, the Commissioner (Enforcement) or other officers of Inland Revenue serving within the hierarchy of Commissioner (Enforcement) have no authority to exercise assessment functions for purposes of STA and FEA. The Impugned SCNs are therefore set aside for being devoid of legal authority.

(BABAR SATTAR)
JUDGE

*Announced in open Court on **17.06.2022**.*

JUDGE

Annexure-A

S. No.	Petition Number	Title	Date of issuance of Impugned Show Cause Notice
1.	W.P. No.597/2022	Port Qasim Electric Power Co. (Pvt.) Ltd. Versus Pakistan through the Secretary Revenue & Ex. Officio Chairman FBR and others	24.01.2022
2.	W.P. No.1814/2022	--do--	11.04.2022
3.	W.P. No.1815/ 2022	--do--	11.04.2022
4.	W.P. No.4060/ 2021	Al-Haj Pakistan Exploration Ltd. Versus Pakistan through the Secretary Revenue & Ex. Officio Chairman FBR and others	29.10.2021
5.	W.P. No.1421/ 2022	Fauji Fertilizer Co. Ltd. Versus Pakistan through the Secretary Revenue & Ex. Officio Chairman FBR and others	14.03.2022
6.	W.P. No.1556/ 2022	--do--	26.03.2022
7.	W.P. No.1557/ 2022	--do--	29.03.2022
8.	W.P. No.1558/2022	--do--	15.04.2022